Organizational Structure & Change

Future of Work and Organisations

Mary Parkinson

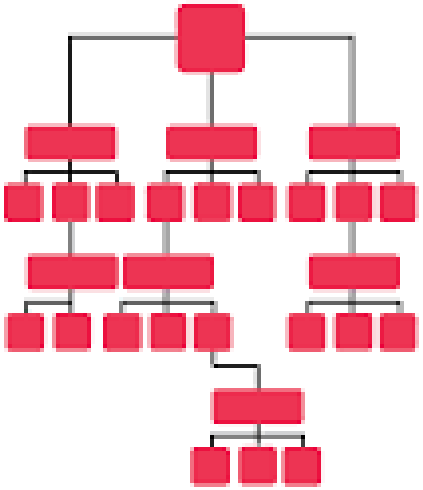


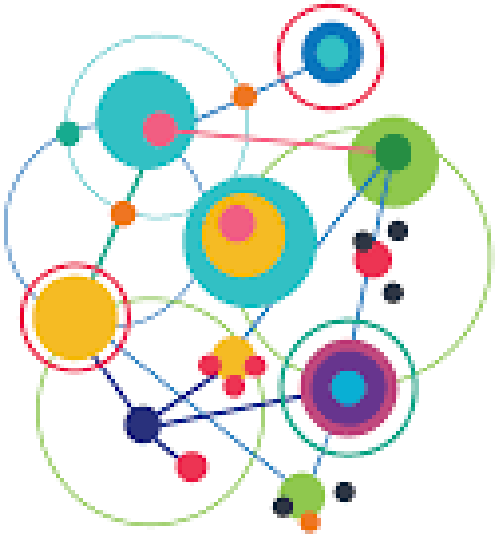
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When structure fails, is it really a technical problem?



Purposes of Organizing





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Structure is a set of design choices

Organizational Structure: The way in which job tasks are formally divided, grouped, and coordinated.

Organizational Design: A process involving decisions about six key elements:

1. Work specialization
2. Departmentalization
3. Chain of command
4. Span of control
5. Centralization and decentralization
6. Formalization



Organizational Structure

Work Specialization

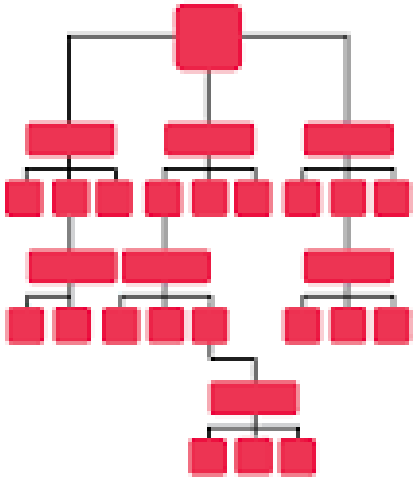
The degree to which tasks in the organization are divided into separate jobs with each step completed by a different person

Overspecialization can result in human diseconomies from boredom, fatigue, stress, poor quality, increased absenteeism, and higher turnover



Common Organizational Designs

- **Functional Structure**
- **Divisional Structure**
- **Team Structures**
- **Matrix Structures**



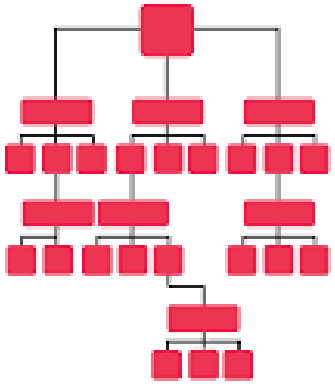


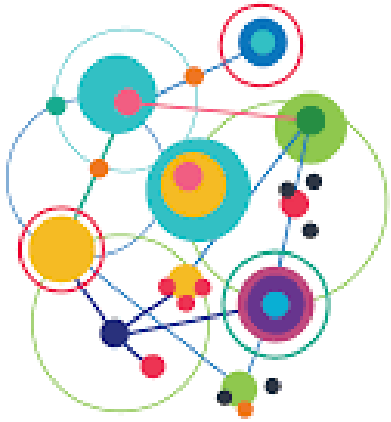
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Structural decisions

Structural decisions are influenced by:

- Strategy
- Size
- Technology
- Environmental uncertainty





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Structure and Behaviour

Mechanistic structures

- Fairness in policy and procedure very important.

Work Specialization high

- Higher productivity, lower job satisfaction

Span of control

- No strong link with employee satisfaction or performance.

High power distance cultures are happier with mechanistic structures than low power distance.



Mechanistic and organic designs solve different problems

[object Object]

Mechanistic

- High Specialization
- Rigid Departmentalization
- Clear Chain of Command
- Narrow Spans of Control
- Centralization
- High Formalization

[object Object]

Organic

- Cross-Functional Teams
- Cross-Hierarchical Teams
- Free Flow of Information
- Wide Spans of Control
- Decentralization
- Low Formalization

Consider

Strategy	Structural Option
Innovation	**Organic:** A loose structure; low specialization, low formalization, decentralized
Cost minimization	**Mechanistic:** Tight control; extensive work specialization, high formalization, high centralization
Imitation	**Mechanistic and organic:** Mix of loose with tight properties; tight controls over current activities and looser controls for new undertakings



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Application: redesign work without losing control

A professional-services firm is introducing **hybrid working** and **skills-based project teams**. Employees will work across departments on short-term client projects, but managers are concerned about accountability and coordination.

In pairs, decide:

Primary design: functional, team-based or matrix?

Mechanistic, organic or hybrid?

Which decision moves closer to the project team?

What new coordination risk does this create?



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Every design redistributes behaviour—and risk

Coordination

Who integrates work across boundaries?

Autonomy

Who can decide when information is incomplete?

Accountability

Who owns outcomes when work crosses teams?

Employee experience

Where might specialization, ambiguity or overload increase?



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A sound redesign can still meet resistance

Forces for change

Technology • workforce expectations • competition • shocks

Resistance is not simply irrational

Individual: habit, security, uncertainty

Organizational: inertia, threatened expertise or power

Diagnostic question

What would people lose—or fear losing?



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Lewin: change the forces, not just the chart

https://www.youtube.com/watch?v=p5pe7EGtjMw

Unfreeze

Create readiness by changing driving and restraining forces

Movement

Introduce the new roles, routines and relationships

Refreeze

Stabilize what works through systems, norms and reinforcement

Change is both structural and social.



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Apply Lewin to your redesign

In your group:

1. UNFREEZE — Which restraining force matters most?
2. MOVE — What changes first: roles, decisions, workflow or information?
3. REFREEZE — What system will reinforce the new way of working?

Exit ticket

One structural choice + one behavioural consequence.



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Optional reference: Kotter's eight-step plan

1. Establish urgency
2. Form a guiding coalition
3. Create a vision
4. Communicate the vision
5. Empower action
6. Create and reward short-term wins
7. Consolidate, reassess and adjust
8. Reinforce the changes

Use when a more detailed implementation roadmap is needed.



Optional reference: learning organizations

A learning organization develops the continuous capacity to adapt and change.

- holds a shared vision
- discards old ways of thinking
- sees the organization as a system of relationships
- communicates openly
- experiments and learns from errors

Structure can enable—or obstruct—learning.



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